NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH (COURT- IV)

C.A.(CAA)-42/ND/2022

IN THE MATTER OF SECTIONS 230 - 232 OF THE COMPANIES ACT, 2013
Sections 230 – 232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

IN THE MATTER OF AMALGAMATION:

BY AND BETWEEN

M/S. JAYANTA FANZEN LIGHTING INDUSTRIES PRIVATE LIMITED

... Transferor Company No.1 / Non-Applicant Company

AND

M/S. ASTHA NIRMAN PRIVATE LIMITED

... Transferor Company No.2 /Non-Applicant Company

AND

M/S. VICTORY TRADECOM PRIVATE LIMITED

... Transferor Company No.3 / Non-Applicant Company

WITH

M/S. UTC INFRADEVELOPERS PRIVATE LIMITED

... Transferee Company/ Applicant Company

Order Pronounced on 19.05.2022

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19/5/22

CORAM:

SH. DHARMINDER SINGH, HON'BLE MEMBER, (J)

MS. SUMITA PURKAYASTHA, HON'BLE MEMBER, (T)

ORDER

PER: SHRI DHARMINDER SINGH, MEMBER (Judicial)

1. Under consideration is the Joint Application No. C.A.(CAA)42/ND/2022 filed under Sections 230 to 232 of the Companies Act, 2013 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the proposed Scheme of Amalgamation (hereinafter referred to as the "Scheme"). The prayer is made seeking dispensation/directions with respect to the meetings of shareholders, secured creditors and unsecured creditors of the Applicant Company to consider the proposed Scheme.

2. M/s. UTC Infradevelopers Private Limited (hereinafter referred as the **"Transferee Company/ Applicant Company"**) having CIN no. U70101DL2011PTC212518, a private limited company incorporated on 13.01.2011 registered with Registrar of Companies, Delhi under the erstwhile Companies Act, 1956. The registered office of the Applicant Company No.1 is situated at F-1098, Basement Chitranjan Park, New Delhi – 110019.

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3. The captioned Application has been filled by Transferee Company / Applicant Company No.1 since the registered office of the Transferee Company is situated in Delhi and therefore, the jurisdiction lies with this bench. The registered office of Transferor Company No.1, Transferor Company No.2 and Transferor Company No.3 **(hereinafter referred to as "Non-Applicant Companies")** are situated in West Bengal and therefore, outside the jurisdiction of this bench.

4. It is seen from the records that the Board of Director of the Applicant Company in their board meeting held on 10.03.2022, have unanimously approved the proposed Scheme of Amalgamation. The appointed date as specifies in the scheme is 01st April,2021 for the purpose of amalgamation of the Transferor Companies and Transferee Company or such other date as the National Company Law Tribunal may direct or approve.

5. It is submitted by the Applicant Company that the Amalgamation of the Transferor Companies ("Non-Applicant Companies") with the Transferee Company ("Applicant Company") would inter-alia have the following benefits:

a) *This scheme envisages amalgamation of Transferor Companies with and into Transferee Company resulting in consolidation of businesses thereby strengthening position of Transferee Company. It is intended*

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that Transferee Company shall have sharper focus on underlying businesses.

b) *Achieving operational efficiencies, stronger financials and growth prospects for the people and organizations connected therewith. Accordingly, consolidation of businesses of the said companies would be in their best interests as well as their respective shareholders and other stakeholders.*

c) *The proposed amalgamation is also aimed and intended to make optimum and efficient utilisations of capital, assets and facilities, reduction of overheads, administrative, managerial and other expenditure and bring about operational rationalization, efficiency and optimum utilization of various resources.*

d) *It will provide the benefit of operational synergies to the combined entity, which can be put to the best advantage of the stakeholders.*

e) *Improved organizational capabilities and leadership, arising from the poling of human capital that has the diverse skills, talent and vast experience to compete successfully in an increasingly competitive industry.*

f) *Greater efficiency in cash management of the Transferee Company and access to cash flow generated by the combined business, which can be deployed more efficiently to maximize shareholder value.*

g) *Cost savings are expected to flow from more focused operational efforts, rationalization, standardization and improvements, improved*

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procurement, and the elimination of duplication and rationalization of administrative expenses.

h) *The merged entity will have the ability to leverage on its assets base to enhance shareholders value.*

i) *Reduction in the number of companies leading to reduction in compliance requirements of both the companies.*

6. It is seen from the records that the Applicant Company has filed Affidavit in compliance of Section 230 (2) (a) of the Companies Act, 2013 submitting that no prosecution / investigation/ proceeding is pending against the Applicant Company.

7. The Applicant Company has placed on record certificate from the Statutory Auditor of the Applicant Company, confirming that the Accounting Standards of the Applicant Company are in conformity with the provision of Section 133 of the Companies Act, 2013.

8. The Applicant Company has filed its Memorandum of Association (MoA) and Articles of Association (AoA). The Applicant Company has filed its audited financial statement for the financial year ended 31.03.2021.

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9. The position of the equity shareholders, secured creditors and unsecured creditors of Applicant Company along with their no objection to the proposed scheme through consent affidavits are summarised hereunder:

Company	No. of Equity Shareholders	Consent Given (%)	No. of Secured Creditor	Consent Given (%)	No. of Unsecured Creditor	Consent Given (%)
Applicant Company/ Transferee Company	03	03	Nil	Not Applicable	1	100%

10. The Applicant Company further affirmed that the proposed scheme of Amalgamation will not adversely affects the rights of any of the creditors of the Transferor Company or the Transferee Company in any manner whatsoever and is not in any way prejudicial to any person. The proposed Scheme of Amalgamation is fair reasonable and is not detrimental to the interest of public.

11. With regard to the Applicant Company, it is stated as under:

a. The Applicant Company has 03 (Three) equity shareholders and Nil preference shareholders as per the list of shareholders of the Applicant

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Company as on 28.02.2022 and all the equity shareholders holding 100% voting rights of the Applicant Company have given their written consent to the proposed scheme by way of consent affidavit which is annexed to the captioned Company Scheme Application.

b. The Applicant Company has Nil secured creditors as per certificate by the statutory auditor of the Applicant Company verifying the list of Secured Creditor as on 28.02.2022 which is annexed captioned Company Scheme Application.

c. The Applicant Company has 01 (One) unsecured creditor having outstanding amount of Rs. 2,23,77,415/- as per certificate by the statutory auditor of the Applicant Company verifying the list of Unsecured Creditor as on 28.02.2022 and the sole unsecured creditor of the Applicant Company i.e., 100% in value has given its their written consent to the proposed scheme by way of consent affidavit which is annexed captioned Company Scheme Application.

12. In relation to the equity shareholders and unsecured creditor, the Applicant Company seeks dispensation with holding/convening of the meetings as their consent affidavits are placed on record. Since there are no preferential shareholder and secured creditor in the Applicant Company, the necessity of convening/holding the meeting of the Preferential shareholder and secured creditor does not arise.

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13. Taking into consideration the submissions and the documents placed on record, we propose to issue the following directions with respect to convening/holding or dispensing with the meetings of the Shareholders, Secured and Unsecured Creditors as well as issue of notices including by way of paper publication as follows:

A. In relation to the Applicant Company

a. With respect to the Equity Shareholders:

In view of the consent affidavits received from all the 03 (Three) equity shareholders of the Applicant Company, holding 100% voting shares, convening the meeting of the equity shareholders of the Applicant Company is hereby dispensed with.

b. With respect to the Secured Creditors:

There are no secured creditors, hence the requirement of convening the meeting of the Secured Creditors of the Applicant Company does not arise.

c. With respect to the Unsecured Creditors:

In view of the consent Affidavit received from the sole unsecured creditor of the Applicant Company i.e., 100% in value, convening the meeting of the Unsecured Creditors of the Applicant Company is hereby dispensed with.

B. The Applicant Company shall serve the notices along with copy of required documents and disclosures required under the provisions of the

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Companies Act,2013 upon: (i) the Central Government through the office of the Regional Director (Northern Region), Ministry of Corporate Affairs, Delhi (ii) the Registrar of Companies, NCT of Delhi and Haryana (iii) concerned income tax authorities within whose jurisdiction the Applicant Company assessment is made (iv) any sectoral regulator who may have bearing on the operation of the Applicant Companies, pursuant to section 230(5) of the Companies Act, 2013 read with rule 8 of the Companies (Compromises, Arrangements and Amalgamations Rules) 2016.

14. All the aforesaid directions are to be complied with, strictly in accordance with the applicable law, including forms and formats contained in the Companies Act, 2013 as well as in Companies (Compromises, Arrangements and Amalgamations Rules), 2016.

15. The Captioned Application C.A.(CAA)42/ND/2022 is allowed in aforesaid terms.

16. Let the copy of the order be served to the parties.

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(SUMITA PURKAYASTHA)
MEMBER (TECHNICAL)

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(DHARMINDER SINGH)
MEMBER (JUDICIAL)